

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (27 marks – approximately 49 minutes)

JC Limited is a private company engaged in the operation of a small high end frozen, dry, and preserve food store, which is owned and run by two directors with experience in this industry. The store provides high end food. Most customers buy expensive frozen, dry, and preserve food in this store. The average spending per customer is HK\$5,000. On 2 January 2021, May Chan, a partner of an audit firm, ABC & Co, was approached by a director of JC Limited, Mike Wong to replace the outgoing auditor, PQJ & Co. PQJ & Co retired in October 2020 after submitting the auditor's report for JC Limited's financial statements for the year ended 31 December 2019. JC Limited kept a large amount of inventory including high end frozen, dry and preserve food. The directors asked ABC & Co to commence the audit immediately because audited financial statements must be submitted to the bank by 20 January 2021 for the renewal of one of the bank loans. JC Limited will be unable to continue its operation if the renewal of the bank loan is unsuccessful. In order to motivate the audit team to work more efficiently to meet the tight deadline, the directors would like to provide a coupon with a HK\$5,000 face value to each of the audit team members for redemption of food if JC Limited succeeded in renewal of the bank loan.

Due to the urgency of submitting the financial statements to the bank, the directors of JC Limited asked the auditors not to carry out the inventory count, nor to send confirmation to the suppliers. The directors said that the year-end day had passed and therefore it was impractical to carry out the inventory count. To substitute, the directors will provide a written representation to ABC & Co as an evidence for their inventory amount as at the year-end date.

Mike Wong advised that the suppliers' monthly statements would be available for inspection. Therefore, it is not necessary to send the confirmation to the suppliers to confirm the year-end accounts payable balances since it would have a very long turnaround time. The directors believe that the major objective of an audit is to enhance the survival of the client which is most beneficial to the shareholders.

Required:

- (a) **Audit is one type of assurance engagement. Describe the objective of an assurance engagement.**
(3 marks)
- (b) **Explain whether the auditor should or should not accept the proposed coupon for food redemption arrangement, taking into consideration the Code of Ethics for Professional Accountants and the potential threat to the independence of the CPA firm.**
(5 marks)
- (c) **Determine the possible audit procedures for the bank loans and interest expense of JC Limited.**
(7 marks)

- (d) The director of JC Limited, Mike Wong, advise that it is not necessary to send confirmation to the suppliers to confirm the year-ended accounts payable balances, instead, the auditors can inspect the suppliers' monthly statements. Determine the appropriateness of Mike Wong's advice. (4 marks)
- (e) Determine the audit report if there is limitation of scope of work to be performed by the auditor on the inventory assuming that the effect of possible material misstatements arising therefrom is material but not pervasive. In addition, describe the requirements of the basis of opinion and opinion paragraphs. (8 marks)

Question 2 (15 marks – approximately 27 minutes)

The firm of JP & Co, your employer, is the external auditor of Best Limited ("BL"), which is a company in the wholesale business.

You have worked on this audit assignment for a few years and this year you are the senior in charge of the audit. You have already conducted tests of controls for the transaction cycles, and control risks are assessed as medium for these cycles. You decide to let an audit assistant help you perform some substantive procedures for accounts payable and accruals.

Required:

- (a) Describe the principal audit risk for accounts payable and accruals. (3 marks)
- (b) List EIGHT possible substantive procedures (including analytical procedures) for accounts payable and accruals. (8 marks)
- (c) List the confirmation procedures for creditors. (4 marks)

Question 3 (25 marks – approximately 45 minutes)

The management of an entity has the responsibility to prepare the financial statements and the financial statements are required to be audited by an independent auditor to ensure fair presentation of financial statements in conformity with the generally accepted accounting principles ("GAAP"). Currently, many entities' management believe that a "good" IT system will enable the entity to produce meaningful and accurate financial data as the basis for the financial statements. Management may also request auditors to perform systems audit during the process of auditing financial statements.

A well-planned audit will ensure that the auditor obtains sufficient and appropriate audit evidence for those areas of the financial statements which are most at risk of material misstatement. As part of the planning phase, auditors have to carry out the preliminary risk assessment procedures and devise risk responses.

Required:

- (a) Describe the management's responsibilities throughout the audit process.
(3 marks)
- (b) List five attributes of a "good" IT system that improves the meaningfulness and accuracy of financial data.
(5 marks)
- (c) Describe systems audit and list two reasons for conducting systems audit.
(5 marks)
- (d) Describe the risk assessment procedures to be performed by auditors for understanding of the entity's information system and communication relevant to the preparation of the financial statements.
(12 marks)

Question 4 (13 marks – approximately 23 minutes)

You are the senior in charge working for the audit of the financial statements of Happy Limited for the year ended 31 December 2020. Happy Limited runs a retail business of health products. Due to economic downturn in 2019 and 2020, Happy Limited kept on making losses. The directors believe that Happy Limited can survive in the following six months after the year ended 31 December 2020 even though the revenue of Happy Limited was significantly reduced due to the downward trend of the economy. The directors are not certain about the continuing viability of their business after six months. The directors agreed to include a statement highlighting the doubt over Happy Limited's ability to continue as a going concern due to significant uncertainty of the continuing viability of their business.

Required:

- (a) Describe the objectives of performing audit work on going concern assumption. (2 marks)
- (b) Explain how to evaluate the appropriateness of the management's assessment of the entity's ability to continue as a going concern. (4 marks)
- (c) Describe the audit report if the auditor considered that there is no disagreement as to the basis of preparation or disclosure regarding the going concern issue and the financial statements are not materially misstated. (7 marks)

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